PUBLIC FINANCE

(Fiscal Policy and Government Budget)

QUICK REVISION

Fiscal Policy

1. Fiscal Policy: Fiscal policy refers to the policy of the Government under which the instruments of taxation public expenditure and public borrowing are used to achieve various objectives of economic policy.

2. Objectives: The main objectives of fiscal policy are:

(i) To reduce inequalities of income and wealth.

(ii) To make provision for public goods (roads, bridges, education, health care, street lightening, etc.)

(ii) To attain the level of full employment.

(iv) To promote/accelerate economic growth.

(v) To achieve price stability.

3. Instruments of Fiscal Policy:

A) Public Revenue: Public revenue means income of the Government from taxes and non-tax sources.

Types of Taxes:

(i) Direct Taxes and Indirect Taxes: Direct taxes are imposed on income and wealth whereas indirect taxes are imposed on goods and services.

(ii) Proportional, Progressive, Regressive and Degressive Taxes:

Proportional Tax: A tax is proportional when the rate of tax remains unchanged.

Progressive Tax: Rate of tax increases as income increases

Regressive Tax: Rate of tax decreases as income increases.

Degressive Tax: Rate of tax increases upto a certain limit and there after remains unchanged.

(B) Public Expenditure: It refers to the expenditure incurred by the Government.

(C) Public Debt: Borrowing by the Government from inside or outside the country.

Redemption of public debt means repayment of debt. Public debt is to be repaid by the Government within the time limit fixed for its repayment. The various methods of debt redemption are:

(i) Debt Conversion: In this method the debt with high interest rate is converted into new debt when the market rate of interest falls. The Government borrows at low rate of interest and repays the past debt even before it matures.

(ii) Budgetary Surplus: A policy of surplus budget may be followed annually for clearing of public debt gradually instead of creating a fund for its repayment on maturity.

(iii) Terminal Annuities: Under this method the physical authorities clear-off part of public debt on the basis of terminal annuities into equal annual instalments including interest along with the principal amount.

(iv) Refunding: In this method, there is issue of new bonds and securities by the Government in order to repay the matured loans.

(v) Sinking Fund: In this system, the Government establishes a separate fund known as sinking fund. A fixed amount of money is credited by the Government to this fund every year. By the time one debt matures there is enough amount in fund to pay-off loans along with the rate of interest.
(vi) Capital Levy: It refers to a very heavy tax on property and wealth. It is a once for all taxes imposed on the capital assets above the certain value.
(vii) Reduction of Rate of Interest: Sometimes the Government takes statuary decision to reduce the rate of interest payable on its public debt. The creditors are forced to accept the reduced rate of interest. This method is normally used by the Government during financial crisis.
(viii) Export Surplus: This method is used to repay the external loan taken by the Government.
(D) Deficit Financing: Deficit financing is defined as financing the budgetary deficit through public loans and creation of new money. Deficit financing in India means the expenditure which in excess of current revenue and public borrowing. The Government may cover the deficit in the following ways:
(i) By running down its accumulated cash reserve from RBI.
(ii) Issue of new currency by Government itself.
(iii) Borrowing from Reserve Bank of India (RBI) gives the loans by printing more currency notes.

GOVERNMENT BUDGET

1. Meaning of Budget: Budget is an annual financial statement containing estimates of estimated receipts and expenditures of the Government for the coming financial year.
2. Objectives of Budget:
(1) There has been phenomenal growth in Government activities and hence public expenditure. This calls for a definite planning with regard to anticipate revenue and expenditure.
(ii) Budgetary policies are used for allocation of resources in the economy.
(iii) Government budget has to play an important role in reducing inequalities of income and wealth.
(iv). Budgetary policies are used to stabilize price level.
3. Types of Budget:
(i) Union Budget: Union budget is the budget prepared by the Central Government for the country as a whole.
(ii) State Budget: State budget is the budget prepared by the State Government such as the budget of U.P. Government, budget of West Bengal Government.
The budget is divided into two parts: (A) The revenue budget and (B) Capital budget.
(A) Revenue Budget: Revenue budget comprises of revenue receipts and expenditure met from such revenue.
(i) Revenue receipts include all types of tax and non-tax revenue.
(ii) A tax is a compulsory payment imposed on the persons or companies by the Government to meet the expenditure incurred on providing common benefits to the people.
(iii) Non-tax revenue consists of income earned by the Government from sources other than tax. e.g., interest, profit and dividend, fees and fines, special assessment, grants in aid.
(iv) Revenue expenditure includes all types of plan and non-plan expenditures of the Government. Revenue account covers those items which are recurring in nature and are non- redeemable. They create no liabilities or involve no sale of assets.
(B) Capital Budget: It comprises of capital receipts and capital expenditures of the Government.
(i) Capital receipts are the receipts of the Government which create liabilities or reduces financial assets for example-foreign loan or repayment of loan.

(ii) Capital expenditures refers to those expenditure of the Government which lead to the creation of physical or financial asset or reduction in the financial liabilities for, e.g., expenditure on building and other constructions, purchasing machinery, investment in shares, etc.

Balanced Budget: A Government budget is said to be a balanced budget in which Government receipts (revenue and capital) are shown equal to the Government expenditure, thus

Balanced budget = Estimated Government receipts = Estimated Government expenditure.

Surplus Budget: When Govt. budget receipts are more than Government expenditure in the budget, the budget is called a surplus budget. In other words, a surplus budget implies a situation where in Government revenue is in excess of Government expenditure. Thus,
Surplus budget = Estimated Government receipts > Estimated Government expenditure.
A surplus budget shows that the Government is taking away more money than what it is pumping in the economic system as a result aggregate demand tends to fall which helps in reducing price level. Therefore, in times of severe inflation a surplus budget is the appropriate budget. But in the case of deflation and recession surplus budget should be avoided.

Deficit Budget: When Government expenditure exceeds Government receipts in the budget, the budget is said to be a deficit budget.
Deficit budget = Estimated Government expenditure > Estimated Government revenue

Types of Budget Deficit:
(i) Revenue Deficit: Revenue deficit refers to the excess of total revenue expenditure of the Government over its total revenue receipts.
Revenue deficit = Total revenue expenditure - Total revenue receipts.

(ii) Fiscal Deficit: Fiscal deficit may be defined as a position where total expenditure of the Government is more than its sum total of revenue receipts and non-debt capital receipts. Thus,
Fiscal deficit = Total expenditure - Total revenue receipts - Non-debt capital receipts.

(iii) Primary Deficit: It is equal to fiscal deficit reduced by interest payments. It is a measure of budget deficit which is obtained by deducting interest payments from fiscal deficit.
Primary deficit = Fiscal deficit - Interest payments.

1 MARK QUESTIONS

A. FILL IN THE BLANKS

1. Budget of Central Government is known as _____
2. The main components of budget are _____ and _____
3. Primary deficit = _____ - _____
4. Fiscal deficit = Total expenditure - _____
5. Budgetary deficit = _____ - _____

6. Revenue deficit = _____ - _____
7. Repayment of loan is a _____ expenditure.
8. Borrowings create _____
9. Surplus budget = _____ > _____
10. Balanced budget = _____ = _____
11. Rate of tax increases with increase in tax base is known as _____ tax.
12. Proportional tax system has _____ tax rate.
13. In case of direct tax _____ and _____ fall on the same person.
14. Printing of new currency to fill the gap between expenditure and income is known as _____
15. Income tax in India follows _____tax system
16. GST is a type of _____ tax.
17. _____ presents the budget in the parliament.
18. Financial year in India is _____
19. Tools of fiscal policy are _____ , _____ and _____
20. Refusing repayment of loan is known as _____

ANSWERS

1. Union budget	2.Revenue budget and capital budget	3. Fiscal deficit – Interest payments	4. Total receipts
5. Total expenditure – Total receipts	6.Total revenue expenditure - Total revenue receipts	7. Capital	8. Liability
9. Total receipts > Total expenditure	10. Total expenditure = Total revenue receipts	11. Progressive	12. Uniform
13. Impact, Incidence	14. Deficit financing	15. Degressive	16. Indirect
17. Finance minister	18. 1st April to 31st March	19. Public revenue, public expenditure, public debt	20. Repudiation of debt.

B. TRUE OR FALSE

1. Government budget is a statement of actual receipts and expenditure of the government.
Ans. [False] As Govt. budget is a statement of expected receipts and expenditure of the government.
2. Indirect taxes are not convenient to realise.
Ans. [False] Because indirect taxes are easy to realise since they are included in the prices of commodities.
3. Payment of salaries to the government employees is a capital payment.
Ans. [False] Because payment of salaries is a revenue payment.
4. Revenue budget is an account of assets and liabilities of the government.
Ans. [False] Because revenue budget comprises current revenue receipts and current expenditure met from this revenue.
5. Primary deficit is the difference between revenue deficit and interest payment.
Ans. [False] Because primary deficit is the difference between fiscal deficit and interest payment.

6. Fiscal deficit is always less than revenue deficit.
Ans. [False] Because fiscal deficit is difference of overall expenditure and overall receipts.
7. Non-tax revenues are higher than tax revenues.
Ans. [False] As tax revenue has the largest share in revenue receipts of the government.
8. Expenditure made on metro rail line in Lucknow is a capital expenditure.
Ans. [True] Because this expenditure has created assets.
9. Increase in fiscal deficit does affect primary deficit.
Ans. [True] As increase in fiscal deficit will also increase primary deficit with same interest payment.
10. Fiscal deficit in the economy will be zero if there is no provision for borrowing in budget.
Ans. [True] Fiscal deficit is, in fact equal to borrowing.
11. Fiscal deficit is non-inflationary.
Ans. [False] Large fiscal deficit creates excessive money supply, therefore it is always inflationary.
12. Tax receipts are a capital receipts.
Ans. [False] Tax receipts are revenue receipts as they do not create liability.
13. Fiscal policy is made by central government of the country.
Ans. [True] As it is a financial policy made by the Government to meet certain objectives.
14. Deficit financing is creation of new currency to fill the gap between income and expenditure of the country.
Ans. [True] When expenditure is more than income than Govt. takes loan from RBI and to give loan to the Govt. RBI issues currency.
15. Direct taxes have impact and incidence on two different people.
Ans. [False] As direct taxes like income tax have impact and incidence on the same person.

C. MULTIPLE CHOICE QUESTIONS

PUBLIC FINANCE

1. Government budget is related to which of the following period?
(a) Current year income and expenditure
(b) Last year income and expenditure
(c) Income and expenditure of commercial year
(d) All of these

2. Who frames Government budget?
(a) Prime Minister
(b) Finance Ministry
(c) Home Ministry
(d) Any of these

3. For how much period budget is framed by Govt. of India?
(a) One year
(b) Five years
(c) Two years
(d) Fifteen years

4. What is the main objective of Govt. budget?
(a) Stability of the economic growth
(b) Economic growth
(c) Income equality
(d) All of these

5. What is the main characteristic of revenue expenditure
(a) Rise in assets
(b) Fall in liability
(c) Either of the two
(d) Neither of the two

6. What is an essential characteristic of capital expenditure?
(a) Rise in assets
(b) Fall in liability
(c) Either of the two
(d) Neither of the two

7. What is essential in revenue receipts?
(a) Fall in assets
(b) Rise in liability
(c) Either of the two
(d) Neither of the two

8. An essential characteristic of capital receipt is:
(a) fail in asset
(b) rise in liability
(c) either of the two
(d) neither of the two

9. Direct tax is called direct because it collected directly from:
(a) producer on goods produced
(b) sellers on goods sold
(c) buyers of goods
(d) the income earners

10. A tax-receipt is which of the following type of receipt?
(a) Revenue
(b) Capital
(c) Either of the two
(d) None of these

11. Indirect tax is called indirect because it collected indirectly from:
(a) the income earners
(b) producers and sellers
(C) corporates
(d) all of these

12. Which of the following type is expenditure on construction of a bridge?
(a) Revenue
(b) Capital
(c) Nominal
(d) None of these

13. Which of the following is a direct tax?
(a) Income tax
(b) Sales tax
(c) Entertainment tax
(d) None of these

14. Which of the following is an indirect tax?
(a) Corporate tax
(b) Wealth tax
(c) Sales tax
(d) None of these

15. Corporate tax is which type of tax?
(a) Direct
(b) Indirect
(c) Fees
(d) Any of these

16. Telephone bill is which type of payment?
(a) Tax
(b) Price
(c) Permit payment
(d) None of these

17. Non-tax revenue in following is:
(a) export duty
(b) import duty
(c) dividend
(d) excise

18. What is the nature of income tax in India
(a) Progressive
(b) Regressive
(c) Proportional
(d) Any of these

19.Sales tax has the nature of:
(a) progressive
(b) regressive
(c) proportional
(d) none of these

20. Which of the following nature has excise duty?
(a) Direct
(b) Indirect
(c) Proportional
(d) Any of these

21. Which of the following nature has custom duty?
(a) Indirect tax
(b) Direct tax
(c) Regressive tax
(d) None of these

22. Entertainment and passenger tax has the nature of:
(a) direct tax
(c) proportional tax
(b) indirect tax
(d) None of these

23. 'Recovery of loans' is a receipt of which of the following nature?
(a) Capital
(b) Revenue
(c) Special assessment
(d) None of these

24. Subsidy received from World Bank is a receipt of:
(a) capital nature
(b) revenue nature
(c) developmental changes
(d) none of these

25. Interest on public debt is a payment of which type?
(a) Revenue
(b) Capital
(c) Either of the two
(d) Neither of the two

26. 'Loans to States' is a payment of which of the following nature?
(a) Revenue
(b) Capital
(c) Revenue receipts
(d) None of these

27. Payment of loans of IMF is payment of which of the following type?
(a) Revenue
(c) Unplanned expenditure
(b) Capital
(d) None of these

28. When public expenditure is more than public revenue, it will have a budget of which of the following type?
(a) Surplus budget
(b) Deficit budget
(c) Balanced budget
(d) None of these

29. When total annual expenditure is greater than total annual receipt, it is known as:
(a) fiscal deficit
(b) deficit budget
(c) balanced budget
(d) none of these

30. When revenue expenditure is greater than revenue receipt, it will have the deficit of which nature?
(a) Fiscal deficit
(b) Revenue deficit
(c) Primary deficit
(d) Any of these

31. Primary deficit in a government budget is:
(a) Revenue expenditure - Revenue receipt
(b) Total expenditure - Total receipts
(c) Revenue deficit - Interest payments
(d) Fiscal deficit – Interest payments

32. Fiscal deficit is always equal to:
(a) public investment
(b) public borrowing
(c) gross investment
(d) any of these

33. How fiscal deficit can be met?
(a) Public debt
(b) By printing new currency
(c) Any of these
(d) None of these

34. Receipt from sale of shares of Maruti Ltd. will be of which of the following receipt?
(a) Capital
(b) Revenue
(c) Nominal
(d) None of these

35. Which of the following is revenue receipt?
(a) Sale of shares of public company
(b) Recovery of loan
(c) Aid from World Bank
(d) None of these

36. Which of the following is non-tax revenue receipt?
(a) Fees
(b) Price
(c) Special assessment charges
(d) All of these

37. Which of the following is tax revenue receipt?
(a) Permit charges
(b) Escheat
(c) Corporate tax
(d) None of these

38. Which of the following is included in fiscal policy?
(a) Public expenditure
(b) Taxation
(c) Public borrowing
(d) All of these

39. Borrowing in Government budget is
(a)revenue deficit
(b) fiscal deficit
(c) primary deficit
(d) deficit in taxes

ANSWERS

1.c	2.b	3.a	4.d	5.d	6.c	7.d	8.c	9.d	10.a
11.b	12.b	13.a	14.c	15.a	16.b	17.c	18.a	19.b	20.b
21.a	22.b	23.a	24.b	25.a	26.b	27.b	28.b	29.a	30.b
31.d	32.b	33.c	34.a	35.c	36.d	37.c	38.d	39.b	

D. ASSERTION-REASON TYPE

Read the following statements-Assertion (A) and Reason (R), and select the correct alternative in each case:

(a) (A) is true, but (R) is false.
(b) (A) is false, but (R) is true.
(c) Both (A) and (R) are true and (R) is the correct explanation of (A).
(d) Both (A) and (R) are true but (R) is not the correct explanation of (A).

1. Assertion (A) : The government uses fiscal instruments to improve the distribution of income.

Reason (R) : Lower taxes can be imposed on rich people and higher taxes can be imposed on poor people.

2. Assertion (A) : Borrowing from the rest of the world is a capital receipt.

Reason (R) : Revenue Receipt either creates liability or reduces the assets.

3. Assertion (A) : Direct taxes are those in case of which burden of tax cannot be shifted.

Reason (R) : Income tax is a direct tax as in case of it impact and incidence fall on the same person.

4. Assertion (A) : If estimated government receipts are less than the estimated government expenditure then the budget is termed as 'deficit budget'.

Reason (R) : Budgetary deficit can be of three types : Revenue deficit, Fiscal deficit and Primary deficit.

5. Assertion (A) : Tax revenue and non-tax revenue are revenue receipts.

Reason (R) : Revenue receipts are those receipts which neither create any liability nor reduce any assets of the government.

ANSWERS

1.a	2.a	3.d	4.d	5.c

2 MARK QUESTIONS

1. Define public finance.
Ans. Public finance is the study of income and expenditure of public authorities, i.e., Government.
2. Define tax.
Ans. A tax is a compulsory charge or payment imposed by Government on individuals or corporations, e.g., income tax, sales tax, VAT, etc.
3. What is indirect tax? Give two examples.
Ans. Indirect tax is one where the impact and incidence of tax falls on different persons, e.g., sales tax, excise tax, etc.
4. Give two sources of public revenue.
Ans. Two sources of public revenue are:
(i) Commercial Revenues: They are those revenues which are received by the Government in the form of prices for specific services and goods supplied by it.
(ii) Administrative Revenues: They arise as a by product of the administrative functions of the Government like fees, license fees, fines, forfeiture etc.

5. Mention two sources of state revenue.
Ans. Two sources of state revenue are:
(i) Tax Revenue: Taxes on income, taxes on property.
(ii) Non-tax Revenue: Interest receipts, dividends from public sector undertakings, grants-in-aid.

6. Why does a tax become regressive?
Ans. When the rate of taxation decreases as the tax payer's income increases, the tax becomes regressive. Lower income taxed at a higher rate, whereas higher income is taxed at lower rate.

7. What is progressive tax?
Ans. A tax is called progressive when the rate of taxation increases as the tax payer's income increases. In this tax system the rate of tax goes on increasing with every increase in income. In other words, lower income is taxed at a lower rate whereas higher income is taxed at a higher rate e.g., income upto 7 50,000 a year is taxed at a rate of 10% and between ₹ 50,000 - ₹ 1,00,000 is taxed at 20%.

8. What is a proportionate tax?

Ans. A tax is called proportionate when the rate of taxation remains constant as the income of the tax payer increases e.g., if the rate of income tax is 10%, every person will be taxed at the same rate whether he earns ₹ 1 lakh per year or ₹ 20 lakhs per year.

9. What do you mean by public expenditure?
Ans. Public expenditure refers to the expenses incurred by public authorities for its own maintenance as also for the satisfaction of collective needs of the citizens or promoting their economic and social welfare.

10. What is public debt?
Ans. Public debt is the loan which the Government owes to its subjects or to the nationals of other countries.

11. Mention two methods of debt redemption.
Ans. Two methods of debt redemption:
(i) Refunding: Refunding is the process by which the Government raises new bonds to pay-off the maturing bonds.
(ii) Budgetary Surplus: Sometimes the Government is able to generate a surplus in its budget. It can use this budget surplus to pay-off its debt to the people.

12. What is debt trap?
Ans. In order to repay the old debt, the Government incurs a new debt. This will lead to a debt trap.

13. What have been the two objectives of the fiscal policy in India?
Ans. The two objectives of the fiscal policy in India are:
(i) Economic Stability: Economic stability requires that cyclical fluctuations in the level of economic activity are eliminated by the instruments of fiscal policy.
(ii) Economic Growth: One of the most important objectives of economic policy is to attain high rate of economic growth.

14. What are the different types of budget?
Ans. The different types of budget are:
(i) Union budget.
(ii) State budget.
(iii) Plan budget.
(iv) Performance budget.
(v) Supplementary budget.

15. What is a deficit budget?
Ans. When the expenditure of the Government exceeds its receipts, there is a deficit in the budget.
In other words, it means that the injections into the circular flow of income are more than leakages. The effect will be increase in aggregate emend in the economy.

16. What is revenue deficit?
Ans. It denotes the difference between revenue receipts and revenue expenditure
Revenue deficit = Revenue expenditure - Revenue receipts

17. Define fiscal deficit.
Ans. Fiscal deficit is the difference between the total expenditure and the sum of revenue and capital receipts excluding borrowing.
Fiscal deficit = Total budgetary expenditure - Revenue receipts - Capital receipts excluding borrowings.

18. What is meant by primary deficit?
Ans. Primary deficit is the difference between fiscal deficit and interest payments
Primary deficit = Fiscal deficit - Interest payments.

19. What are the sources of financing deficit?
Ans. There are three sources by which the Government can finance its deficit. These are:
(i) Borrowings from public and foreign Government.
(ii) Withdrawing from its cash balances with RBI.
(iii) Borrowings from the RBI.

20. Define fiscal deficit.
Ans. Fiscal deficit is defined as the excess of all expenditure over total receipts reduced by borrowings. Fiscal deficit does not take into borrowings. In terms of formula,
Fiscal deficit = Total budget expenditure - Total budget receipts net of borrowings.

or

Fiscal deficit is the difference between the Government's total expenditure and its total receipts excluding borrowing.

21. 'Direct taxes are regressive in nature' is this statement true or false?
Ans. The statement is false because in case of direct taxes like income tax, wealth tax, etc., income-earners of the higher income group have to pay taxes at a progressively higher rate, while the poorer sections are exempted from paying such taxes. The tax burden cannot also be shifted to anybody else by the tax-payers. Hence, direct taxes are progressive in nature.

22. Mention two characteristics of a tax.
Ans. A tax has several characteristics of these, the following two are mentioned here:
(i) A tax is a compulsory payment. If a person is liable to pay a tax, he/she has a legal obligation to pay it.
ii) A tax does not involve an exchange relationship. Although the state imposes taxes in order to cover the expenses of running the Government. There is no specific promise given by he state regarding the benefits that the citizens may expect in return.

23. How can indirect taxes be made progressive?
Ans. Since, indirect taxes are imposed mainly on goods and services rather than on persons they tend to be regressive in nature, since if both the rich and the poor buy the same goods and services they pay the same absolute amount of taxes. But the poor have lower incomes than the rich. Hence, the percentage of income going into tax payments is higher for the poor than for the rich. This problem, however, can be avoided if the indirect taxes are levied on those goods and services which are consumed by the rich. In this way, by taxing

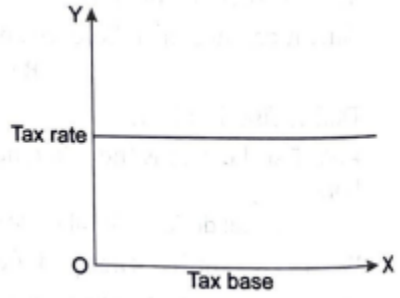
luxury items and by exempting items of necessary consumption from taxation, indirect taxes can be made progressive.

24. Is fiscal deficit a part of budgetary deficit?
Ans. No, fiscal deficit is not a part of budgetary deficit but budgetary deficit is a part of fiscal deficit.
Fiscal deficit = Budgetary deficit + Borrowing and other liabilities.

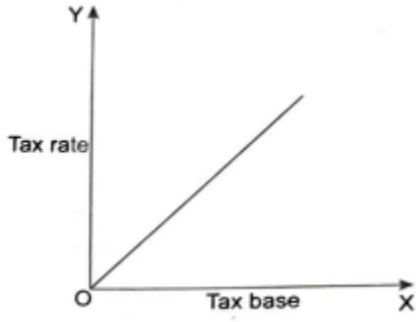
25. Is fiscal deficit a wider concept than revenue deficit?
Ans. Yes, fiscal deficit is always a wider concept than revenue deficit.

3-4 MARKS QUESTIONS

1. What is proportional tax? Show it with the help of a graph.
Ans. In this type of tax all incomes are taxed at the uniform rate and it is not linked with the income of tax payer it is a simple tax system and dose not have any harmful effects on willingness to work and save but it is not based on principle of equality and revenue collected through this tax is very less.



2. What do you mean by progressive tax?
Ans. Tax is said to be progressive when the rate of tax increases as the taxpayers' income increases. According to Dalton in progressive taxes the higher the income, the tax payer has higher proportionate tax to pay. Progressive tax is based on principle of equity and it reduces the inequality of income and wealth and helps in controlling inflation also. On the other hand, it has some disadvantages like there is an harmful effect on willingness to work and save. In case of progressive taxation tax evasion is very common.



3. Explain regressive and digressive taxation.

Ans. Regressive Taxation: It is one in which the rate of tax decreases as the tax payers' income increases. It is just opposite of progressive taxes, regressive tax are unjust and inequitable. They do not follow the principle of equity and they promote inequalities of income in the society.

Digressive Taxation: Under this system the rate of tax increases upto certain limit but after that a uniform rate is charged. It is formulated on slab system.

4. Explain any two causes for the growing importance of public expenditure in India.
Ans. Public expenditure implies the expenditure incurred by the Government. Now, we can point out the following two causes behind such growing importance of public expenditure in India:
(i) Building-up Strong Infrastructural Base: Sustained growth in industrial and agricultural production require the expansion of infrastructural facilities, viz., transport and communications, generation and distribution of electricity, expansion of multipurpose irrigation projects, etc. Private investors are reluctant to block their funds with these risky ventures. Hence, a huge amount of public expenditure is needed to fill in this gap and to increase the supply of the social overhead capital in India.

(ii) Supplying Basic Facilities to the Growing Population: Growing population pressures in India also meant growing demand for education, health and medical facilities, nutritional facilities, etc. Again, with the gradual process of urbanization, demand for better housing and sanitation facilities, banking and insurance facilities, better transport and communication facilities etc., became prominent. Hence, the Government has to spend a substantial amount for urban developments as well as for extending some of these basic facilities to the growing number of people.

5. What is Government budget? Explain union and state budget.
Ans. It is defined as a financial statement showing expected receipts and expenditure of the Government during the period of a financial year. A budget contains the following features:

- It is a statement of expected revenue and proposed expenditure of the Government.
- It possess periodicity which is generally one financial year.
- It has a sanction of public authority.

Union budget: It is the budget prepared by Central Government for the country as a whole. This budget is presented in two parts:
(i) Railway budget and, (ii) Main budget.
State budget: It is prepared by State Government such as; budget of Punjab Government, U.P. Government, etc., are the structure of the Government budget.

6. What is revenue expenditure of the Government? Give example.
Ans. The expenditure which does not result in the creation of assets, is treated as revenue expenditure. This expenditure is incurred for the normal functioning of the Government departments and various other services, interest charges on debt incurred by the Government, etc. Two items of revenue expenditure of the Central **Government are as follows:**
(i) Civil expenditure; and
(ii) Defence expenditure.

The civil expenditure is incurred on organs of state, fiscal services, (e.g., expenditure on tax collection) interest payments on public debt, administrative services, general economic services (e.g., expenditure on subsidies), etc.

7. (i) What is capital expenditure by the Government?
(ii) Give two examples of capital expenditure in India.

Ans. (i) The capital expenditure refers to such expenditure incurred by the Government which causes a net addition to the capital stock of the country.
(ii) The following are the two examples of capital expenditure by the Government of India:
(a) Expenditure in connection with the electrification of railways.
(b) Expenditure on establishing new thermal power projects.

8. (i) What is deficit budget?
(ii) How do the central and state Governments in India meet such deficits in their budgets?
Ans. (i) if the sum of total of the revenue and capital expenditure in the Government budget exceeds the revenue and capital receipts, this is called a deficit budget.
(ii) The Central Government meets its overall budgetary deficit by:
(a) A net sale of treasury bills to be reserve Bank of India (when the Government borrows from the RBI, it merely transfers its treasury bills or securities to the RBI and the RBI, on the basis of these securities, issues more notes and puts them into circulation on behalf of the Government) and
(b) Running down of its accumulated cash balance with the RBI.

9. Compare between the terms 'revenue deficit', 'fiscal deficit' and 'primary fiscal deficit' in the union budget of India.
Ans. In the union budget (i.e., the budget of the Central Government) of India:
(i) Revenue deficit = Revenue expenditure - Revenue receipts.
(ii) Fiscal deficit = Total expenditure of the Government - (Revenue receipts + Recoveries of loans + Other receipts of the Government) = Borrowings and other liabilities of the Government.
(iii) Primary fiscal deficit = Gross fiscal deficit - Interest payments by the Government.

10. What is balanced budget? Describe merits and demerits of a balance budget.
Ans. Balanced budget is a budget in which estimated Government revenue raised by the Government is equal to Government expenditure.
Following are the merits of balanced budget:
(i) A balanced budget avoids wasteful expenditure on the part of the Government.
(ii) A balanced budget ensures financial stability
Following are the demerits of a balanced budget:
(i) A balanced budget restricts the freedom of action on the part of the Government.
(ii) A balanced budget hampers the process of economic growth particularly in developing economy.

11. What is a surplus budget? What does it show?

Ans. When Government budget receipts are more than Government expenditure in the budget, the budget is called a surplus budget. In other words, a surplus budget implies a situation where in Government revenue is in excess of Government expenditure. Thus,
Surplus budget = Estimated Government receipts > Estimated Government expenditure.
A surplus budget shows that the Government is taking away more money than what it is pumping in the economic system as a result aggregate demand tends to fall which helps in reducing price level. Therefore, in times of severe inflation a surplus budget is the appropriate budget. But in the case of deflation and recession surplus budget should be avoided.

12. What is deficit budget? How does it affect the aggregate demand?
Ans. When Government expenditure exceeds Government receipts in the budget, the budget is said to be a deficit budget.
Deficit budget = Estimated Government expenditure > Estimated Government revenue
A deficit budget increases the aggregate demand. It is a good policy to fight recession when the economy is in under employment due to deficient demand.

13. What is surplus budget? How does it affect aggregate demand?
Ans. When Government budget receipts are more than Government expenditure in the budget, the budget is called a surplus budget. In other words, a surplus budget implies a situation where in Government revenue is in excess of Government expenditure. Thus,
Surplus budget = Estimated Government receipts > Estimated Government expenditure.
A surplus budget reduces the aggregate demand. It is a good remedy to remove inflation when economy is in over full employment equilibrium due to excess demand.

14. State the sources of financing deficit in the budget.
Ans. If the sum of total of the revenue and capital expenditure in the Government budget exceeds the revenue and capital receipts, this is called a deficit budget.
The Central Government meets its overall budgetary deficit by:
(i) A net sale of treasury bills to the Reserve Bank of India (when the Government borrows from the RBI, it merely transfers its treasury bills or securities to the RBI, and the RBI, on the basis of these securities, issues more notes and puts them into circulation on behalf of the Government) and
(ii) Running down of its accumulated cash balance with the RBI.
This process is called deficit financing. If there is a deficit budget in case of the state budget, the state meet their budgetary deficits by:
(a) Decrease in their cash balances.
(b) Sale of securities in the market, and
(c) Taking ways and means advances from the RBI.

15. Explain any two important sources of revenue receipts of the Central Government in India.

OR

Give two sources of revenue for the Central Government.

Ans. Under the federal finance system in India, there are some taxes which are levied, collected and appropriated by the Central Government. Two important sources of revenue receipts of the Central Government in India are:
(i) Union excise duties, i.e., taxes on the production of various goods which are sold within the country (except on alcoholic liquors, Indian hemp and other narcotic drugs).
(ii) Customs duties, which are imposed by the Central Government, either on imported or exported items.

6-8 MARKS QUESTIONS

1. What is fiscal policy? Give the objectives of it.
Ans. Fiscal policy refers to the policy of the Government under which the instruments of taxation, public expenditure, public borrowing are used to achieve various objectives of the economic policy.
Objectives of Fiscal Policy: Basic objective of fiscal policy for developed countries are as follows:
(i) Economic Stability: It is an important objective of a sound fiscal policy. It means the level of economic activities are maintained at a stable level so that there is no fluctuations in output, employment and price. Stability means price stability also, so that the situation of inflation should be curbed and deflation should be avoided.

(ii) Full Employment: J.M. Keynes regarded fiscal policy as an instrument to attain and maintain full employment in the economy. To achieve this goal he suggested that public expenditure has to be incurred in a planned way to finance public work programmes and provide social security measure so that the persons who are willing to work at the existing wage rate are able to get work.

objectives of Fiscal Policy for Under-developed Countries:
Economic Growth: It is a process of increase in the real per capita income of the country over a long period of time. Rapid economic growth is the fundamental objective of the fiscal policy. To achieve this objective fiscal policy mobilizes the resources into the productive channels. Government encourages the private sector investment and promotes investment into socially desirable channels.
(ii) Equity: In a welfare state fiscal policy should as an effective means of achieving the goal of equity, i.e., making the distribution of income and wealth equitable. Taxation is a very important tool to achieve the goal of equity.

2. What do you mean by public expenditure? Give its importance in an economy.
Ans. Public expenditure refers to Government Expenditure. It is incurred by Central and State Governments. The public expenditure is incurred on various activities for the welfare of the people and also for the economic development, especially in developing countries. In other words, the expenditure incurred by public authorities like Central, State and local Governments to satisfy the collective social wants of the people is known as public expenditure.

Need/Importance/Significance of Public Expenditure:
In modern economic activities public expenditure has to play an important role. It helps to accelerate economic growth and ensure economic stability. Public expenditure can promote economic development as follows:
(i) To promote rapid economic development.

(ii) To promote trade and commerce.
(iii) To promote rural development.
(iv) To promote balanced regional growth.
(v) To develop agricultural and industrial sectors.
(vi) To build socio-economic overheads, e.g., roadways, railways, power etc.
(vii) To exploit and develop mineral resources like coal and oil
(viii) To provide collective wants and maximise social welfare.
(ix) To promote full- employment and maintain price stability
(x) To ensure an equitable distribution of income.

Thus, public expenditure has to create and maintain conditions conducive to economic development. It has to improve the climate for investment. It should provide incentives to save, invest and innovate.

3. Explain any four methods of debt redemption.
Ans. (i) Debt Conversion: In this method, the debt with high interest rate is converted into new debt when the market rate of interest falls. The Government borrows at low rate of interest and repays the past debt even before it matures. The lender is free to take his money back or get his loan converted into a fresh loan. However, conversion can be successfully carried out, if the credit of the Government is good.

(ii) Budgetary Surplus: A policy of surplus budget may be followed annually for clearing of public debt gradually instead of creating a fund for its repayment on maturity. But in recent years due to rapidly increasing public expenditure, surplus
budget is a rare phenomenon.

(iii) Terminal Annuities: Under this method, the physical authorities clear-off part of public debt on the basis of terminal annuities into equal annual instalments including interest along with the principal amount. This is the easiest method similar to sinking fund. According to this method, the burden of debt goes on diminishing and by the time of maturity, it is already fully paid-off.

(iv) Sinking Fund: In this system, the Government establishes a separate fund known as sinking fund. A fixed amount of money is credited by the Government to this fund every year. By the time one debt matures. There is enough amount in fund to pay-off loans along with the rate of interest. In practice sinking funds are not accumulated, Government do not create such fund if even if they create they utilize it for the other purposes whenever they are in need of funds.

4. Explain the components of Government budget.
Ans. It is defined as a financial statement showing expected receipts and expenditure of the Government during the period of a financial year. A budget contains the following features:

- It is a statement of expected revenue and proposed expenditure of the Government.
- It possess periodicity which is generally one financial year.
- It has a sanction of public authority.

The budget is divided into two parts the revenue budget and capital budget.
(i) Revenue Budget: Revenue budget comprises of revenue receipts and expenditure met from such revenue. Revenue receipts include all types of tax and non-tax revenue. A tax is a compulsory payment imposed on the

persons or companies by the Government to meet the expenditure incurred on providing common benefits to the people. Non tax revenue consists of income earned by the Government from sources other than tax, e.g., interest, profit and dividend, fees and fines, special assessment, grants in aid. Revenue expenditure includes all types of plan and non- plan expenditures of the Government. Revenue account covers those items which are recurring in nature and are non redeemable. They create no liabilities or involve no sale of assets.

(ii) Capital Budget: It comprises of capital receipts and capital expenditures of the Government. Capital receipts are the receipts of the Government which create liabilities or reduces financial assets, e.g., foreign loan or repayment of loan. Capital expenditures refers to those expenditure of the Government which lead to

the creation of physical or financial asset or reduction in the financial liabilities, e.g., expenditure on building and other constructions, purchasing machinery investment in shares etc.

5. What is a deficit budget? Give its merits and demerits.

Ans. When Government expenditure exceeds Government receipts in the budget, the budget is said to be a deficit budget.

Deficit budget = Estimated Government expenditure > Estimated Government revenue.

Deficit budget has its two merits specially for developing economy:

(i) It activates economic growth

(ii) It enables to undertake welfare programmes of the people.

It has two demerits also:

(i) It encourages unnecessary and wasteful expenditure by the Government.

(ii) It may lead to financial and political instability.

6. What is revenue deficit? Give its implications and suggest some remedies also to remove it.

Ans. The excess of revenue expenditure over revenue receipts is called revenue deficit. Thus,

Revenue deficit = Revenue expenditure - Revenue receipts.

It implies that resources have to be borrowed from other sectors of economy to cover this deficit. It may lead either to borrowing or sale of Government asset. Thus high revenue deficit gives a warning signal to the Government either to curtail its expenditure or increase its revenue.

Implications Of Revenue Deficit:

(i) Revenue deficit indicates the inability of the Government to meet its regular and recurring expenditure in the proposed budget.

(ii) It implies that Government is dissaving it means Government is using up savings of other sectors of the economy to finance its consumption expenditure.

(iii) It implies that the Government has to make up this deficit from capital assets, i.e., through borrowing or disinvestments. It means revenue deficit either leads to an increase in liability in the form of borrowings or reduces the assets through
disinvestment.

(iv) Use of capital receipts for meeting the extra consumption expenditure leads to an inflationary situation in the economy. Higher borrowings increase the future burden in terms of loan amount and interest payments.

(v) A high revenue deficit gives a warning signal to the Government either to curtail its expenditure or increase its revenue.

(i) Reduce Expenditure: Government should take serious steps to reduce its expenditure and avoid unproductive or unnecessary expenditure.

Increase Revenue: Government should increase its receipts from various sources of tax and non-tax revenue.

7. What is fiscal deficit? Give its implications.

Ans. Fiscal deficit is the excess of total expenditure over revenue receipts(revenue and capital receipts) excluding borrowing.

Fiscal deficit = Total expenditure -Total receipts (Revenue receipt - Capital receipts) (excluding borrowing).

It has serious implication for economy. The Government has to borrow to meet this deficit. A major part of fiscal deficit is financed by the deficit financing (printing extra currency notes). It leads to rise in the prices. Implications of fiscal deficit are as follows:

(i) Causes Inflation: Government mainly borrows from Reserve Bank of India to meet its fiscal deficit. RBI prints new currency to meet the deficit requirement. It increases the money supply in the economy and creates inflationary pressure.

(ii) Increases Foreign Dependences: Government also borrows from rest of the world, which raises its dependence on other countries.

(iii) Accumulates Financial Burden for Future Generation: Borrowings increase the financial burden for future generations. It adversely affects the future growth and development prospects of the country.

(iv) Multiplies Borrowing: It creates too much of borrowing in the country. Government takes more loans to repay the earlier loans. As a result, country is caught in a debt trap.

8. What do you mean by primary deficit? What are its implications?

Ans. The excess of fiscal deficit over payments of interest is called primary deficit. Thus,

Primary deficit = Fiscal deficit - Interest payments

Primary deficit shows borrowing requirements of the Government to meet her expenditure exclusive of interest payments.

Implications of Primary Deficit:

(i) It indicates how much Government borrowing is required to meet her increased expenditure.

(ii) It reflects the real burden of Government finance as it excludes the interest burden on loans taken in past.

(iii) High primary deficit normal indicates fiscal irresponsibility of the Government.

liv) A zero primary deficit means that the Government has to resort to borrowing only to meet its interest payment on debt.

QUESTIONS BASED ON DIFFERENTIATION

1. Show the differences between revenue expenditure and capital expenditure.
Ans:

S.NO.	Basis	Revenue Expenditure	Capital Expenditure m
1	**Creation of Assets**	It does not result into creation of assets.	It results into creation of assets.
2	**Finance**	It is financed out of revenue receipts.	It is financed out of the capital receipts.
3	**Items**	It includes items such as interest, payments, maintenance of general, social, economic and defence services; subsidies and grants to states and union territories and grants to foreign Governments	It includes expenditure on capital accounts of general, economic, social and defence services; loans to state and union territories for financing plan projects; and loans to foreign Governments.

2. What is the difference between proportional taxation and progressive taxation?
Ans. Under proportional taxation a tax-payer pays a constant proportion of his or her income as tax irrespective of the amount of income, while under progressive taxation the proportion of income paid as taxes rises with a rise in income.

3. What is the difference between the impact and incidence of taxation?
Ans. When the Government of any country imposes a tax then the person or the institution which bears the burden of tax at the first instance, is known as the impact of tax. On the other hand, if the tax-payer can shift the burden of tax then the final resting point of the tax burden is called the incidence of tax, the impact point is the seller, but the point of incidence is the buyer.

4.Distinguish between tax revenue and non-tax revenue.
Ans:

S.NO.	Basic	Tax Revenue	Non - Tax Revenue
1	**Meaning**	It is the income of Government from taxes. Tax- payer cannot expect any service of benefit from the Government in return.	It is the income of the Government from sources other than taxes.
2	**Share in Government revenue**	It is major part of Government revenue.	Its shares in Government revenue is very small.
3	**Examples**	Income tax, corporate taxes, excise duty, sales tax, VAT are the main sources of tax revenue.	It includes income from sources like interest income, fees, fines, dividend, gifts, grants, etc.

5. Distinguish between revenue budget and capital budget.

Ans.

S.NO.	Basic	Revenue Budget	Capital Budget
1	**Meaning**	It includes revenue receipts and revenue expenditure of the Government.	It includes capital receipts and capital expenditure of the Government.
2	**Liabilities**	It includes such transactions which do not create any asset or liability for the Government.	It includes such transactions which create any assets or liabilities for the Government.

6. Differentiate between direct tax and indirect tax.

Ans:

S.NO.	Basic	Direct Tax	Indirect Tax
1	**Meaning**	Direct taxes are those under which burden falls on the same person on whom it is imposed, i.e., impact and incidence falls on the same person.	The tax which is initially imposed on one person and paid by another. In case of indirect taxes impact and incidence fall on two different people.
2	**Shifting of tax**	They can't be shifted.	They can be shifted.
3	**Impact and incidence**	They fall on the same person.	It falls on two different people.
4	**Civic consciousness**	It inculcates civic consciousness.	It does not inculcate civic consciousness.
5	**Income and expenditure**	They are imposed on income of the tax-payer.	They are imposed on expenditure of tax-payer.
6	**Nature of tax**	They are compulsory in nature.	They are not compulsory.
7	**Examples**	Wealth tax, income tax and property tax , etc.	Sales tax, VAT, custom duty, etc.

7. Differentiate between revenue receipts and capital receipts.

Ans:

S.NO.	Basic	Revenue Receipts	Capital Receipts
1	**Meaning**	They neither create any liability nor reduce any asset of the Government.	They either create liabilities or reduce assets.
2	**Nature**	They are regular and recurring in nature.	They are irregular and non- recurring in nature.
3	**Future obligation**	There is no future obligation to return the amount.	In case of certain capital receipts there is future obligation to return the amount along with interest.
4	**Example**	Tax revenue and non-tax revenue.	Borrowings, Disinvestments etc.

8. Differentiate between fiscal deficit and revenue deficit.

Ans:

S.NO.	Basic	Fiscal Deficit	Revenue Deficits
1	**Meaning**	It shows the excess of total expenditure over total receipts excluding borrowing.	It shows the excess of revenue expenditure over the revenue receipts.
2	**Indicator**	It measures the total borrowing requirements of the Government.	It indicates inability of the Government to meet its regular and recurring expenditure.
3	**Formula**	Fiscal deficit = Total expenditure - Revenue receipt - Capital receipts (excluding borrowing).	Revenue deficit = Revenue expenditure – Revenue receipts

9. Differentiate between primary deficit and fiscal deficit.

Ans:

S.NO.	Basic	Primary Deficit	Fiscal Deficits
1	**Meaning**	It shows the difference between fiscal deficit and interest payment.	It shows the excess of total expenditure over total receipts excluding borrowings.
2	**Indicator**	It indicates the total borrowing requirements of the Government, excluding interest.	Fiscal deficit reflects the need of the total borrowing of the government in a fiscal year.
3	**Formula**	Primary deficit = Fiscal deficit - Interest payment.	Fiscal deficit = Total expenditure - Total receipts excluding borrowings.

10. Distinguish between impact of taxation and incidence of taxation.

Ans:

S.NO.	Impact of Taxation	Incidence of Taxation
1	It refers to the initial burden of the tax.	It refers to the ultimate burden of a tax.
2	It is upon the person who pays it in the first instance.	It is felt by the person who actually bears the burden of tax.
3	It can be easily shifted.	It cannot be shifted.

11. Differentiate between proportionate and progressive tax systems.

Ans:

S.NO.	Basic	Proportionate Tax System	Progressive Tax System
1	**Meaning**	In this type of tax all incomes are taxed at the uniform rate and it is not linked with the income of tax payer.	Tax is said to be progressive when the rate of tax increases as the tax payers income increases.
2	**Canon of equality**	It does not follow the canon of equity.	It follows the canon of equity.

12. Difference between developmental and non-developmental expenditure.
Ans. Developmental expenditure is that expenditure which is incurred on economic and social development of the country.
Examples: Expenditure on education, health, employment, etc.
Non-development expenditure is that which is incurred on non-developmental activities of the Government in the form of provision of general services of the Government.
Examples: Administrative Expenditure, interest payments, etc.

CASE BASED QUESTIONS

CASE 1

The government generates its revenue by imposing both indirect taxes and direct taxes. Thus, it is important for the government to follow a judicial system for taxation and impose correct tax rates. This is because of two reasons. The higher the tax, the reduction in the purchasing power of the people. This will lead to a decrease in investment and production. Furthermore, the Lower tax will leave more money with people that lead to high spending and thus higher inflation.

Answer the following questions based on the above paragraph:
1. What do you mean by Tax?
2. Differentiate between direct and indirect taxes.
3. Explain the impact and incidence of taxation.
4. Give the examples of important direct and indirect taxes imposed by the government of India.

Ans. 1. A tax is a mandatory fee or financial charge levied by any government on an individual or an organisation to collect revenue for public works providing the best facilities and infrastructure.

2.

Basic	Direct	Indirect
Meaning	Direct taxes are those under which burden falls on the same person on whom it is imposed, i.e., impact and incidence falls on the same person.	The tax which is initially imposed on one person and paid by another. In case of indirect taxes impact and incidence fall on 2 different people.
Shifting of Tax	The can't be shifted.	They can be shifted.

3.The final burden of tax is known as tax incidence and the initial burden of tax is known as tax impact. Tax incidence is upon the person who eventually pays it and the tax impact is upon the person from whom the tax is collected.
4: Direct tax: Indirect tax; **Income tax :** : GST.

CASE 2

In the Indian context, public debt includes the total liabilities of the Union government that have to be paid from the Consolidated Fund of India. Sometimes, the term is also used to refer to the overall liabilities of the central and state governments. However, the Union government clearly distinguishes its debt liabilities from

those of the states. It calls overall liabilities of both the Union government and states as General Government Debt (GGD) or Consolidated General Government Debt. Union government relies heavily on market borrowing to meet its operational and developmental expenditure. The study of public debt involves the study of various factors such as debt-to-GDP ratio, and sustainability and sources of government debt. The fact that almost a fourth of the government expenditure goes into Interest payment explains the magnitude of the liabilities of the Union government.

Answer the following questions based on the above paragraph:

1. Define Public Debt.
2. Explain any two methods of debt redemption.
3. What do you mean by repudiation of debt?

Ans. 1. Public debt is the total amount, including total liabilities, borrowed by the government to meet budget. It has to be paid from the Consolidated Fund of India.

2. (a) Sinking fund: in this system the government establishes a separate fund known as sinking fund. A fixed amount of its development money is credited by the government to this fund every year. By the time one debt matures. There is enough amount in fund to pay off loans along with the rate of interest.

(b) Terminal annuities: Under this method the physical authorities clear off part of public debt on the basis of terminal annuities into equal annual instalments including interest along with the principle amount.

3. Repudiation means Denial of the existence of a contract and/or refusal to perform a contract obligation. Repudiation is an anticipatory breach of a contract. Repudiation of debt means simply that the government does not recognise its obligations and refuses to pay the interest as well as the principal, Repudiation is not paying off a loan but destroying it. Normally, a government does not repudiate its debt, for this will shake the confidence of the general public in the government. However, in extreme circumstances, a government may be forced to repudiate its internal or external debt obligations.

CASE 3

The Union Budget is the blueprint of the Government's revenue and expenditure for a fiscal year. It is presented during the month of February so that it can be materialised before the start of a new financial year. According to Article 112 of the Indian Constitution, it is an extensive financial statement that presents the Government's estimation of revenue sources and estimated expenses for the year. It is classified into two parts - revenue budget and capital budget. Revenue budget contains the government's revenue receipts and expenditure, while the Capital Budget comprises of the government's capital receipts and payments.

Answer the following questions based on the above paragraph:

1. What is the period of fiscal year in India?
2. Who presents Govt. budget in the parliament of India?
3. What are the sources of revenue receipts?
4. What is the difference between revenue budget and capital budget?

Ans. 1. Fiscal year 1st April to 31st March.

2. Finance Minister of India.

3. For the government, there are two sources of revenue receipts-tax revenues and non-tax revenues. Tax is one of the major sources of revenue for the government to carry out its work. Tax revenue can be classified into

a few major categories- corporation tax, tax on income, customs, union excise duties, service tax and several others.

Non-tax revenue: Interest Receipts, Dividends and Profits. Apart from receipts on account of interest on loans by the Central Government, this Section comprises dividends and profits from public sector enterprises. It also includes surplus profits of the Reserve Bank of India, transferred to the Government.

4. Differences between Revenue Budget and Capital Budget :

S. No.	Basis	Revenue Budget	Capital Budget
1.	Meaning	It includes revenue receipts and revenue expenditure of the government.	It includes capital receipts and capital expenditure of the government.
2.	Liabilities	It includes such transactions which do not create any asset or liability for the government.	It includes such transactions which create any assets or liabilities for the government.

CASE 4

India recorded a fiscal deficit of 9.3% of GDP in 2020-21, 0.2% lower than the revised estimate of 9.5% of GDP, according to the Controller General of Accounts (CGA). Total revenue receipts turned out to be about 7 88,000 crore higher than estimated, driven largely by higher excise and customs collections, while total expenditure was 7 61,000 crore more than the revised estimate. The revenue deficit for the year was projected at 7.42% of GDP by the CGA.

Answer the following questions based on the above paragraph:

1. What do mean by budgetary deficit?
2. What are the different types of budgetary deficit?

3. What is Fiscal Deficit? How to calculate it?

Ans. 1. Budgetary deficit is the sum of revenue account deficit and capital account deficit.

2. There are three types of budget deficit.

(1) Fiscal deficit,

(ii) Revenue deficit,

(ii) Primary deficit.

3.Fiscal deficit is defined as the excess of total expenditures over the total receipts, excluding the borrowings in a year. In other words, this can be defined as the amount that the government needs to borrow in order to meet all expenses.

Fiscal deficit = Total expenditures - Total receipts excluding borrowings.

QUESTIONS WITH HIGH DIFFICULTY LEVEL

1. Giving reasons, classify the following as direct and indirect taxes:

(i) Income tax,

(ii) Entertainment tax,

(iii) Corporate tax,

(iv) Excise duty,

(v) Wealth tax,
(vii) Capital gains tax.
(vi) Custom duty,
Ans. Direct Taxes: (i), (ii), (v) and (vii). They are direct taxes as their burden can not be shifted, i.e., impact and incidence is on the same person or company.
Indirect Taxes: (ii), (iv) and (vi). They are indirect taxes as their burden can be shifted, i.e., impact and incidence is on different persons.
2. How can surplus budget be used during inflation?
Ans. Surplus budget refers to a budget where estimated total receipts are more than estimated total expenditure. In case of surplus budget, Government takes more money from the economy than it injects into it. It results a fall in aggregate demand and price level in the economy and helps to combat inflationary situations.

3. Identify the following as revenue receipts and capital receipts. Give reasons.
(i) Loan from the World Bank.
(ii) Grants received from the World Bank.
(iii) Corporation tax.
(iv) Profits of public sector undertaking.
(v) Sale of shares held by Government in a PSU.
(vi) Dividend received by Government from a company.
(vii) Borrowing from public.
(viii) Foreign aid against earthquake victims.
(ix) Fees of Government college.
Ans. (i), (v) and (vii): It is a capital receipt as it creates liability for the Government. (i), (ii), (iv), (vi), (viii) and (ix): It is a revenue receipt as it neither creates any liability nor reduces any asset of the Government.

4. Identify the following as revenue expenditure and capital expenditure. Give reasons.
(i) Salary paid to army officers.
(ii) Purchase of a railways coach from Japan.
(iii) Repayment of loan taken from the World Bank.
(iv) Grants given by Central Government to State Government.
(v) Loan given to union territories.
(vi) Interest paid on National debt.
(vii) Expenditure on construction of metro.
(viii) Pension paid to retired Government employees.
(ix) 10% shares purchased in a company.
Ans. (i), (iv), (vi), (viii): It is a revenue expenditure as it neither creates any asset nor reduces any liability of the Government. (ii), (iii), (v), (vii) and (ix): It is a capital expenditure as it increases asset of the Government.

5. When does the budget come into effect?
Ans. Once the budget is prepared, it goes to the Parliament for enactment or legislation. Once the finance and appropriation bills are passed, execution of the budget starts.

6. Who prepares the budget?

Ans. The exercise of the preparation of the budget is done by the Ministry of Finance, Government of India.

7. Give two reasons for the rise of public expenditure in recent years. Mention development expenditure as the first factor.

Ans. Two reasons for the rise of public expenditure in recent years:

(i) Defence: An important factor responsible for increase in public expenditure is the large defence expenditure that the Government allocates to defend its country from the attack of other countries so as to maintain its sovereignty. Defence expenditure has increased from Rs. 3,600 crores in 1980-81 to Rs. 15,400 crores in 1990-91 and to Rs. 92,500 crores in 2007-08.

(ii) Population Growth: Another important factor responsible for the increase in public expenditure is the growth in population. In India, the population has increased at an alarming rate. The population of India increased from 36 crores (in 1951) to 102.7 crores (in 2001). In 2015, the population of India is 1.28 billion at the growth rate of 1.2%.

8. What is meant by non-productive expenditure? Give one example.

Ans. Non-productive expenditures are those which do not add to the productive efficiency of the economy directly.

Examples: expenditure on defense, justice, maintenance of law and order etc.

9. What are the basis of classifying receipts into revenue receipts and capital receipts?

Ans. Revenue receipts are those which neither create a liability for the Government nor reduce the assets of Government such as income tax, sales tax, fees, profits, etc. Capital receipts are those which either create a liability for the Government or reduce assets such as borrowings, disinvestment, recovery of loans, etc.

10. Why is tax treated as revenue receipts?

Ans. Because tax neither create a liability for the Government nor reduces assets of the Government.

11. What will be the value of fiscal deficit if primary deficit is Rs.53,000 crores and interest on borrowings is Rs. 5,000 crores?

Ans. Fiscal deficit = Primary deficit + Interest payment

= Rs. 53,000 + Rs. 5,000 = Rs. 58,000 crores.

12. State which budget expenditure does not result in creation of assets or reduction of liability. Give examples also.

Ans. Revenue expenditure does not result in creation of assets or reduction of liability. Such expenditures are incurred of the normal running of Government departments and maintenance of services e.g., salaries, old age pensions, interest payments, subsidies, grants, etc.

13. What indicates zero primary deficit?

Ans. Zero primary deficits means that the Government has to resort to borrowings only to make interest payments.

14. What indicates revenue deficit?

Ans. Revenue deficits are defined as the excess of revenue receipts.

Revenue deficit = Revenue expenditure - Revenue receipts

Revenue deficit is a reflection of the Government's fiscal policy. The implication of revenue deficit is that the Government is borrowing to maintain even its consumption expenditure. It shows that the country's financial system is getting destabilised.

15. How does an increase in public expenditure increase the level of employment in a country?

Ans. An increase in public expenditure in various developmental activities leads to extra flow of money and purchasing power in the hands of people. This causes an increase in the aggregate demand in an economy. So, producers get an incentive to produce more and the demand for different factors of production (including labour) increases in the economy. So, it leads to an increase in the level of employment with the economy.

WORKSHEET FOR SELF EVALUATION

1. What is tax? **(2 Marks)**
2. What do you mean by non-tax revenue? Give any two examples of it. **(3 Marks)**
3. What is public revenue? **(2 Marks)**
4. Give the instruments of fiscal policy. **(2 Marks)**
5. Which instrument of fiscal policy is used to remove inequality from the economy? **(2 Marks)**
6. What is the basic difference between direct and indirect tax? **(2 Marks)**
7. What do you mean by Wagner's law? **(2 Marks)**
8. Give any two points of importance of public expenditure. **(2 Marks)**
9. Explain sinking fund as a method of redemption of public debt. **(2 Marks)**
10. What do you mean by repudiation of debt? **(2 Marks)**

11. Which method of debt redemption is used to repay external loans? **(2 Marks)**
12. Give the formula to measure primary and fiscal deficit. **(2 Marks)**
13. Give the examples of two direct taxes and two indirect taxes. **(2 Marks)**
14. What are non-debt capital receipts? **(3 Marks)**
15. Give the example of revenue receipts and capital receipts. **(3 Marks)**
16. Why there is a need to prepare a surplus budget? **(2 Marks)**